Oil prices to remain high despite crude recovery

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Markets face prolonged fuel squeeze even as crude flows recover

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Crude supply has recovered, and inventories remain adequate, but conflict-related disruption risks and shipping premiums will keep oil prices elevated.
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Middle distillate supply will remain tight into 2027 as refinery damage and reduced Russian diesel exports leave markets vulnerable to winter bottlenecks.
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High oil and fuel prices will accelerate demand destruction and electrification, reinforcing declining oil demand in Asia and Europe.

The crude oil shortage linked to Middle East conflict is largely resolved. Crude is flowing out of the Middle East at levels similar to before the crisis. Strategic as well as commercial inventories in high-demand regions like Asia, Europe, and North America are sufficiently filled to deal with potential disruptions.

Crude shipments from the Middle East averaged 20 million barrels per day (bpd) in the last week of October, rising above volumes being delivered before the war began in late February 2026, according to Kpler data (see: Oil prices will remain high on depleted inventories and risk of re-escalation , 2 November 2026). Flows remain jagged, however, as Iranian attacks continue to disrupt tanker traffic—flows managed through the US escort system in Hormuz have oscillated in the last several weeks.

Crude inventories in Europe and North America remain relatively healthy. US and core European commercial crude stocks remain above 400 million barrels, though this is also helped by the gradual release of strategic petroleum reserves since February. In Asia, commercial inventory data is less transparent, but China (by far the region’s biggest consumer) is estimated to still have around 1.2 billion barrels in stocks.

If the US escort system continues to work, global crude balances could flip into oversupply. This possibility comes as the UAE and Saudi Arabia are both finalizing measures to raise their oil exports from ports outside the Strait of Hormuz, and after producers around the world (especially in the

Americas) ramped up output early in the crisis to meet the supply gap that emerged in the early stages of the war.

Conflict likely to keep prices elevated—even in a balanced or oversupplied market. Given the likelihood of ongoing hostilities in the Middle East, shippers will continue to charge a stiff premium on crude and freight costs (see: Geopolitics has broken shipping with 2027 outlook just as bleak , 20 October 2026). A simmering conflict will keep prices in a $90-$110 per barrel band for spot Brent, with potential escalation pulling them into a $110-$125 band.

Eurasia Group currently sees escalation as likely (see: Escalation still likely despite midterms rout , 4 November 2026), with Iranian attacks on regional infrastructure and further disruptions to tanker traffic putting pressure on prices. The escalatory period is likely to be short, as the US is planning a brief air campaign; Iran will retaliate aggressively but is unlikely to seek an extended conflict (see: The US will likely strike Iran in mid-November, 27 October 2026).

Only in the event of a credible de-escalation would Brent quickly fall below $90 per barrel as risks in Hormuz recede, producers like Kuwait and Iraq ramp output back up, and Saudi Arabia and the UAE even raise supply to gain market share. A US-Iran deal currently looks very unlikely, however, owing to steep Iranian demands.

Middle distillate supply will remain tight well into 2027. With crude supply relatively stable even amid ongoing conflict, the focus has shifted to refined products, especially Middle distillates like diesel, heating oil (or gasoil), as well as jet and marine fuel.

The Middle East conflict has caused extensive damage to regional refineries, which cannot be fully fixed while fighting continues. Meanwhile, the ongoing war between Russia and Ukraine has significantly curtailed Russia’s diesel exports—an issue Moscow’s October diesel deal with Washington did not resolve. Limited spare refining capacity means operators across the US, Europe, and Asia will maximize output to capture high margins.

Sudden and unplanned refinery outages could cause regional bottlenecks especially through the winter 2026/27 period in the northern hemisphere (November to March), even though large-scale fuel shortages are unlikely due to the large global capacity.

The high crude and fuel price environment will cause demand destruction. Asia and Europe lead the way with permanent replacements of oil (and natural gas) use in transport (especially through a fast-growing electric vehicle market share) and heating (especially of electric substitutions of household boilers). As a result, demand has peaked in the world’s two biggest import regions (see: Peak Chinese oil demand is behind us , 14 October 2026). High oil prices and improving electrification will accelerate this trend.

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